

21CV05028 Jay Gill vs Falk & Blacksberg Inc et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-05-29

Motion: Petition: Confirm Arbitration

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Tentative Ruling: Jay Gill vs Falk & Blacksberg Inc et al

Case Number

21CV05028

Case Type

Civil Law & Motion

Hearing Date / Time

Fri, 05/29/2026 - 10:00

Nature of Proceedings

Petition: Confirm Arbitration

Tentative Ruling

For all reasons stated herein, on or before June 26, 2026, the parties shall file a joint statement that (1) attaches a true and correct copy of the judgment entered in the San Luis Obispo Superior Court action, Jay Gill v. Hysen-Johnson Ford, Inc., et al., 21CV-0728 (SLO Action), and (2) sets forth the parties' respective positions on how this judgment and the recent ruling on plaintiff's petition to vacate in the SLO Action impacts defendants' petition in this action. The hearing on defendants' petition to confirm arbitration is continued to July 31, 2026.

Background:

On December 23, 2021, plaintiff Jay Gill (Gill) initiated this action by filing a complaint against defendants Falk & Blacksberg, Inc., dba Perry Ford Mazda Santa Barbara, Falk Properties Santa Barbara, LLC, and Deborah Falk Properties Santa Barbara LLC (collectively, Defendants).

On February 8, 2022, Gill filed his operative first amended complaint (FAC) setting forth three causes of action for: (1) breach of implied covenant of good faith and fair dealing, real estate purchase agreement; (2) breach of contract, asset purchase agreement; (3) breach of good faith and fair dealing, asset purchase agreement.

As alleged in the FAC:

Gill sought to enter exclusive and unique automotive markets currently occupied by Defendants in Santa Barbara and San Luis Obispo. (FAC, ¶¶ 1-4) Defendants agreed to sell Gill certain automotive sales operations in these geographic areas. (Ibid.) The deal is comprised of four agreements: (1) a real estate purchase agreement relating to the Perry Ford and Perry Mazda automobile dealerships in Santa Barbara, (2) an asset purchase agreement relating to the Perry Ford and Perry Mazda automobile dealerships in Santa Barbara (collectively, the Santa Barbara Agreements), (3) a real estate purchase agreement relating to the Perry Ford Lincoln San Luis Obispo dealership, and (4) an asset purchase agreement relating to the Perry Ford Lincoln San Luis Obispo dealership (collectively, the SLO Agreements). (Ibid.)

The Santa Barbara Agreements are at issue in this action. (FAC, ¶ 4) The SLO Agreements are subject to a separate but related specific performance action filed by Gill in San Luis Obispo County Superior Court, Case No. 21CV-0728 (the SLO Action). (Ibid.)

The Santa Barbara Agreements consist of (1) Real Estate Purchase Agreement for 440 Hitchcock Way, Santa Barbara, California, dated August 20, 2021 (REPA); and (2) the Agreement for Purchase and Sale of Automobile Dealership Assets, dated August 20, 2021 (APA). (FAC, ¶ 5, Exs. 1-2.) Although all conditions under the REPA and APA had been satisfied prior to the agreed upon closing date, Defendants refused to proceed with closing, thereby breaching both agreements. (FAC, ¶¶ 9, 10.)

On February 15, 2022, the court entered a stipulated order for arbitration that imposed a stay on this action pending completion of the arbitration. This action and the SLO Action were subsequently consolidated by the parties for purposes of arbitration.

On October 3, 2025, Defendants filed the present petition to confirm arbitration award.

As alleged in the petition:

On September 17, 2024, an arbitration award was made requiring Defendants to pay Gill a total of \$200,000, \$100,000 for this action and \$100,000 for the SLO Action. (Pet., ¶¶ 8, 10(b)(3).) The arbitration award is attached to the petition. (Pet., Attach. 8(c).) The petition states in part, “[the SLO Action] and this Santa Barbara case were adjudicated together in the underlying arbitration proceeding. Therefore, the award reflects an award of \$100,000.00 in the Santa Barbara case and an award of \$100,000.00 in the San Luis Obispo case. \$100,000.00 should be ordered in this [Santa Barbara] case.” (Pet., ¶ 10(b)(3).) The arbitrator’s decision attached to the petition states in part, “[t]he Arbitrator finds that the Liquidated Damages provisions in each of the APAs limit BUYER’s damages to the total sum of \$200,000. Buyer is not entitled to any further damages, whether legal or equitable.” (Pet., Attach. 8(c) at p. 3.) The arbitrator’s award states in part, “Respondent SELLERS, upon the concession of liability, are to pay the total sum of \$200,000.00 to BUYER as the sole damages for the breach of the APAs.” (Id. at p. 4.)

On October 13, 2025, Gill filed an opposition to the petition to confirm arbitration award, arguing that Defendants filed petitions to confirm the arbitration award in both Santa Barbara County and San Luis Obispo County, and that there is a pending motion to vacate the arbitration award in the SLO Action. Gill argued that the court in the SLO Action had exclusive jurisdiction to rule on the petition to vacate filed by Gill in the SLO Action and that this action should be stayed pending the outcome of Gill’s petition to vacate in the SLO Action. (See *Precision Automotive v. Northern Ins. Co. of New York* (1967) 252 Cal.App.2d 1036, 1038; Code Civ. Proc., § 1292.4.)

The hearing on the present petition was initially scheduled to take place on January 9, 2026.

On December 31, 2025, the court entered an order pursuant to a stipulation to continue the hearing on Defendants' petition. The parties represented that the hearing on the petition to vacate in the SLO Action was scheduled to be heard on January 28, 2026.

On January 26, 2026, the court entered an order pursuant to a second stipulation to continue the hearing on Defendants' petition. Based on a family emergency of counsel, the petition was continued to March 13, 2026.

On February 18, 2026, the court entered an order pursuant to a third stipulation to continue the hearing on Defendants' petition. The parties represented that a petition to confirm arbitration award and a petition to vacate arbitration award was set to be heard in the SLO Action on May 13, 2026. Based on these circumstances, the court continued Defendants' petition to this hearing of May 29, 2026.

On May 21, 2026, Defendants filed a reply in support of their petition in this action and a request for judicial notice attaching a ruling in the SLO Action. The ruling denied Gill's petition to vacate in the SLO Action and granted Defendants' petition to confirm arbitration award in the SLO Action. The court in the SLO Action ordered that "[t]he SLO Defendants are to prepare a judgment accordingly as to the SLO Defendants only." (RJN, Ex. A at p. 6.)

The court will require additional information before ruling on Defendants' petition in this action, including a copy of the judgment that is entered by the court in the SLO Action.

Judges

Judge Donna D. Geck

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